



“MEESHO HAS ENOUGH CASH NOW. THE BURN HAS REDUCED CONSIDERABLY... IT IS ON TRACK TO GET TO EBITDA PROFITABILITY VERY SOON. AND BY SOON, I MEAN MONTHS, NOT YEARS”

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“MORE THAN 70 PER CENT OF SHOPSY’S [A MEESHO RIVAL] NEW CUSTOMERS COME FROM TIER II AND III MARKETS... WITH OVER 75 PER CENT OF ITEMS COSTING ₹300 AND BELOW”

ADARSH MENON
SVP & HEAD-NEW BUSINESSES, FLIPKART

million, which it claims to have reduced by 80 per cent. CFO Dhiresb Bansal explains that Meesho is using a lesser number of dollars to achieve the same outcome, and that’s what has led to this improvement in burn. “We expect to cut it down to zero in 2023,” he says.

Bansal says FY22 was a time to gain market share. “We invested significantly to gain market share and we grew our gross merchandise value (GMV) by almost 25x in two years. From April 2022, we’ve been focussing on profitability in a meaningful manner,” he says.

Even as Meesho strives to strike the delicate balance between growth and profitability over the next 12-15 months (until FY24), which many say will be a humongous challenge, it continues to be a significant player in India’s \$72-billion e-commerce sector. How did it get there?

E-COMMERCE ARENA

India is one of the world’s fastest-growing e-commerce markets, with most new shoppers coming from Tier II+ markets

E-commerce market	2022	2027*
Market size	\$50 billion	\$150–\$170 billion
Gross merchandise value (GMV)	\$100 billion	\$350 billion
No. of e-commerce shoppers	180-190 million	450-500 million

*PROJECTIONS SOURCE BAIN & COMPANY AND ACCEL REPORT ‘THE RISE OF DIGITAL BAZAARS IN INDIA’

E-COMMERCE FOR BHARAT

Meesho was founded in 2015 by IIT Delhi batchmates Aatrey and Barnwal with the goal of democratising internet commerce in India. Flipkart had been around for a while, and Amazon was two years into its India journey. But both catered to the top tier of India’s population or the first 100 million online users. Meesho identified a gap that involved the ‘next billion users’—a Google coinage—who were new to the internet, new to e-commerce, more value-conscious, and less likely to transact.

“Indian e-commerce 1.0 had succeeded in bringing organised retail online—smartphones, TVs, fridges—but those were just one set of spends. If you looked at spends like offline apparel at ₹500-600 price points, they were not coming online. So, we were very excited about the fact that Meesho was going after an unorganised retail market and bringing it online,” says Sarthak Misra, Investment Director at SoftBank Vision Fund, who led the Meesho deal in 2021.

By 2016, following the roll-out of Jio’s low-cost data plans, Meesho started seeing a sharp growth in users. “From mid-2016 to mid-2017... we went from 300 orders to 30,000 orders per day within 12 months. And a big tailwind that enabled it was Jio,” says Aatrey.

Meesho targeted women in Tier II and III towns because they had been traditionally underserved. “We went with a category where trials were easier, which is fashion. A lot of women would buy these low-cost fashion items and be pleasantly delighted. And then they would start to buy more items on the platform over time,” says Aatrey.

By 2019, Meesho was one of the fastest-growing start-ups in India. It went on to attract a \$25-million investment from Facebook, making it the tech major’s first Indian bet. “WhatsApp for Business had just launched in India, and very quickly Facebook realised that a large share of WhatsApp for Business users were the women entrepreneurs of Meesho. They saw the power that our platform had in empowering people to